

JUDGMENT SHEET
IN THE LAHORE HIGH COURT LAHORE
JUDICIAL DEPARTMENT

W.P No.49497 of 2017
Honda Atlas Cars Pakistan Ltd.
Versus
Federation of Pakistan & others

J U D G M E N T

Date of Hearing.	06-10-2020
PETITIONERS BY:	M/s Waqas Ahmad Mir, Ali Zahid Rahim and Ahmad Hassan, Advocates.
RESPONDENTS BY:	Mrs. Riaz Begum, Advocate vice counsel for Ch. Muhammad Zafar Iqbal, Advocate. Mr. Monim Sultan Asst. Attorney General.

Shahid Karim J: -
Overview:

The petitioner Honda Atlas Cars Pakistan Ltd. (Honda) is engaged in the manufacture of automotive cars in Pakistan with its plant situated at Multan Road, Lahore. It is referred to as Original Equipment Manufacturer (OEM) in the automotive sector. Section 19 of the Customs Act, 1969 (1969 Act) grants to the Federal Government general power to exempt from customs duties under the circumstances and conditions delineated in section 19. Historically, the Federal Government has recognized that in order to encourage technology transfer and manufacturing in automotive cars sector, car manufacturers with plants within Pakistan be offered an encouraging import and customs duty regime. This regime involves allocation of certain quota for import of components. Engineering Development Board (EDB), an instrumentality of Ministry of Industries & Production is tasked with

execution of this regime along with Pakistan Customs. At the start of the year, each manufacturer of cars within Pakistan will be allotted certain quota by EDB for import of car components. Honda imports various parts and components from abroad including components in kit form (Kit). A Kit may be referred to as 'available set of parts' that a manufacturer sells which are then assembled into a functioning car. A Kit can either be Completely Knocked Down (CKD) or Semi Knocked Down (SKD). A CKD is a common method for supplying and shipping products to foreign nations. An SKD, on the other hand, refers to a partially built up unit which requires certain other steps for completion of finished products. Honda imports components as part of knocked down equipments and the car is assembled once all the parts arrive in Pakistan.

Facts:

2. The facts in this petition have their provenance in the notification SRO 656(I)/2006 issued on 22.6.2006 (**SRO 656**). This notification exempts components imported in any Kit form used for the assembly and manufacture of vehicles falling under Chapter 87 of the First Schedule to the 1969 Act from customs duties subject to fulfillment of certain conditions spelt out in the notification. The notification has been issued by the exercise of

powers under Section 19 of the Act, 1969 by the Federal Government. Honda does not take issue with this notification but to a subsequent amendment made in the notification brought about by SRO 483(I)/2016 (**SRO 483**) issued on 29.06.2016. The second notification viz. SRO 483 imposes a condition that all cars being manufactured in Pakistan and benefiting from the import of components under reduced customs duty regime be fitted with an immobilizer, that is, an anti-theft device. Failing to comply with this condition meant that no manufacturer of cars will be allowed benefit of reduced customs duty on the relevant imports.

3. By way of historical facts, it has been brought forth in the petition that the Industry and Production Division, Government of Pakistan launched the auto and industry development program to encourage OEMs to ensure that critical components and new technology were being utilized in automobiles. The Federal Government in 2013 formed a Committee to formulate an Automotive Development Policy (ADP) to ensure safety, quality and environmental standards in car manufacturing. Under the scheme of 2006 notification as amended by SRO 496(I)/2007 dated 9.6.2007 at the beginning of the fiscal year, the importer is to submit to EDB a list of components with their part numbers along with respective PCT

Headings intended to be imported. EDB then allocates a quota of items that may be imported. In Honda's case, it will allocate a quota for each vehicle variant and EDB is also responsible for granting a manufacturing certificate to Honda. EDB, in turn, will upload this data for each importer to the online data base maintained by the Federal Board of Revenue (FBR). At the end of a fiscal year, FBR will tally with EDB the imported goods which were provisionally cleared and complied with the conditions set out in the 2006 notification. If EDB validates these facts, FBR will take no further action. By SRO 483, SRO 656 notification was amended to the extent that exemptions and concessions would only be available to cars and Kits containing immobilizers. This amendment was to take effect from 01.07.2016, that is, two days after the notification was published.

4. An immobilizer is a sophisticated digital security system that requires purpose-built hardware and software in order to function and remain effective. On 01.07.2016, EDB issued a letter to Honda stating that an amendment had been brought about in 2006 notification and the installation of immobilizers had been made mandatory in cars produced by OEMs. Thus Honda's 25% yearly increase in its import quota was being released on a

provisional basis. This letter is attached as Annexure 'G'. This clearly meant that as on 1.7.2016 if a Kit was imported without an installed immobilizer, the importer would have to pay higher rates of customs duties. Meanwhile, FBR was to continue to provisionally clear the imports but would demand higher rates of duty when the imports were validated with EDB.

5. Pak Suzuki Motor Company Ltd., one of the OEMs filed a suit No.1630 of 2016 before the Sindh High Court primarily making a prayer for declaration that the notification of 29.6.2016 be declared as illegal and void. The Sindh High Court passed an order on 11.7.2016 that stated that **“operation of clause ‘(c)’ of notification dated 2.6.2016 and para/clause ‘(b) (iii)’ of SRO dated 29.06.2016 are stayed till the next date of hearing.”** It is the case of Honda that the order of the Sindh High Court was *in rem* and applied equally to Honda which was entitled to take benefit of that order. However that question does not constrain this Court as an independent challenge has now been raised which will be dilated upon and determined in this order.

6. It is the case of Honda that a cluster of correspondence ensued between Honda and EDB to which no satisfactory reply was given. Primarily, Honda set forth its case in the correspondence with

EDB while relying upon the order passed by the Sindh High Court as also the practical constrictions of complying with the conditions inserted through SRO 483. Nothing came out of the exchange and the respondents remained unpersuaded. Honda takes strong exception to the poverty of the respondent's reasoning and hence the present challenge.

Discussion and conclusion:

7. The clause regarding the immobilizers to be made part of the Kits imported by Honda and subject matter of the challenge in this petition provides that:-

“iii) after condition (xiii), the following new conditions shall be added, namely:-

“(xiv) in line with the policy ensuring consumer welfare under Automotive Development Policy (ADP) 2016-2, the said kits imported by importer-cum-assembler or Original Equipment Manufacturer (OEM) of cars must contain immobilizer. The OEM shall confirm the compulsory installation of immobilizer in the cars produced at his facilities. The EDB shall ensure compliance of said consumer welfare measure.”

(The Clause)

8. As a prefatory, it may be stated that SRO 483 was to take effect from the first day of July, 2016. It was issued on 29.06.2016 and merely two days were given for the implementation of the conditions. This clause, by its very nature according to Honda, imposes a burden which is tantamount to taking away the exemption granted by SRO 656 for, it is well-nigh impossible to fulfill the condition added by SRO 483 within the time span of two days when the notification was to come into effect. Doubtless, the

components which have been exempted by SRO 656 are imported in a Kit form by Honda through vendors outside Pakistan and therefore it is not within the powers of Honda to install immobilizers in the Kits which must be done by the foreign vendor. To reiterate, the Kits are imported by Honda through foreign vendors and by the very terms of the clause (xiv) inserted through SRO 483, it is recognized that the Kits are being imported by OEMs and thereby imposes a condition that they must contain immobilizers.

9. Firstly, any such notification must apply prospectively and this has also been recognized by the terms of the notification itself which makes it applicable from 1.7.2016. However, it fails to recognize the contingency of installation in the import of Kits which primarily means that Honda as well as the other OEMs had, by that date, placed orders for the import of Kits which were in the pipeline and were due to be delivered at a future date. In this respect contracts had already been executed for the supply of Kits from foreign vendors and manufacturers. It could not legitimately be expected that Honda could revise those contracts to compel the foreign vendors and manufacturers to replace the Kits with the ones which contained immobilizers. The Federal Government also

assumed to the detriment of Honda that any such Kits were being manufactured in such a way that they had an option for immobilizers to be made part of those Kits. Thus, at least to the extent of concluded contracts for supply of Kits on the date when SRO 483 was notified, it would be putting an unreasonable burden on Honda to require its foreign vendors and suppliers to modify the Kits to contain immobilizers. Suffice to say that the contracts which had been executed on that date i.e. 29.06.2016 were past and closed transactions and could not be upended by an amendment which was to take effect on 01.07.2016.

10. Secondly, section 19 of the Act, 1969 grants to the Federal Government powers to exempt any goods imported into or exported from Pakistan subject to such conditions, limits or restrictions as it may deem fit to impose. So far as relevant, section 19 of the Act, provides that:

“19. General power to exempt from customs-duties.- The Federal Government whenever circumstances exist to take immediate action for the purposes of national security, natural disaster, national food security in emergency situations, protection of national economic interests in situations arising out of abnormal fluctuation in international commodity prices, removal of anomalies in duties, development of backward areas and implementation of bilateral and multilateral agreements, subject to such conditions, limitations or restrictions, if any, as it deems fit to impose, may, by notification in the official Gazette, exempt any goods imported into, or exported from, Pakistan or into or from any specified port or station or area therein, from the whole or any part

of the customs-duties chargeable thereon and may remit fine, penalty, charge or any other amount recoverable under this Act..”

(2) A notification issued under sub-section (1) shall be effective from the day specified therein, notwithstanding the fact that the issue of the official Gazette in which such notification appears is published at any time after that day.]

11. Section 19 set out above grants to the Federal Government under certain circumstances the power to exempt any goods imported into or exported from Pakistan. Thus, the power vested in the Federal Government is regarding exemption from customs duty on any goods subject to certain conditions which may be imposed in a notification issued in the official gazette. The exemption, as adumbrated, was granted by SRO 656 . By SRO 483 that exemption has certainly been taken away which is outwith the authority of the Federal Government which merely has the power to grant an exemption and cannot impose a condition which would be tantamount to making the exemption as superfluous. To reiterate, Honda requires a certain reasonable time to be given to comply with the condition of installation of immobilizers. It is also the case of Honda that the mandatory requirement to install immobilizers has now been complied with since April, 2017 in all the variants being manufactured by Honda.

12. Unreasonableness and proportionality are the two main planks of Honda’s argument to anchor its attack on the insertion of the clause. Hence the

prayer that it be held null and of no effect. This is a fallacy. In essence, Honda seeks a declaration that the term of the notification viz. **“this notification shall take effect on and from the first day of July, 2016” (“the Condition”)** be held to be unreasonable and irrational. To reiterate, the notification was issued on 29th June, 2016 and it was to come into effect two days thereafter which, by scheme or artifice, imposed an undue burden on Honda’s right under SRO 656. Thus the grafting of the Clause in SRO 656 effectively took away the exemption granted to Honda (and other OEMs) since 2006. This could not conceivably be the purpose of Automotive Development Policy 2016-21 decided by the Economic Coordination Committee (ECC) of the Cabinet on 2.6.2016, which put in place measures in furtherance of the policy of SRO 656 and not to issue potentially conflicting strands of measures to take away, at a stroke, a right so conferred.

13. Another principle that is now firmly embedded in Administrative decision-making and is a recognized ground for judicial invalidation is that the discretion must be 'used to promote the policy and objects of the Act'. From time to time public authorities have set their face against the policy of an Act, and either declined to implement it or else attempted to frustrate it. Needless to say, this is an

unlawful motive. This has been dealt with in Administrative law, H.W.R. Wade & C.f. Forsyth (Eleventh Edition) in the following manner:

"In two strong and almost simultaneous decisions of 1968 the House of Lords and the Court of Appeal boldly applied the law as so often laid down. In one, the House of Lords asserted legal control over the allegedly absolute discretion of the Minister of Agriculture and held that he had acted unlawfully..."

"In Padfield v. Minister of Agriculture, Fisheries and Food the House of Lords had to consider a dispute under the milk marketing scheme established under the Agricultural Marketing Act 1958. The Act provided for a committee of investigation which was to consider and report on certain kinds of complaints 'if the Minister in any case so directs..."

Lord Reid expressly rejected 'the unreasonable proposition that it must be all or nothing-either no discretion at all or an unfettered discretion'. He said:

Parliament must have conferred the discretion with the intention that it should be used to promote the policy and objects of the Act; the policy and objects of the Act must be determined by construing the Act as a whole and construction is always a matter of law for the court. In a matter of this kind it is not possible to draw a hard and fast line, but if the Minister, by reason of his having misconstrued the Act or for any other reason, so uses his discretion as to thwart or run counter to the policy and objects of the Act, then our law would be very defective if persons aggrieved were not entitled to the protection of the court.

Lord Upjohn said that the minister's stated reasons showed a complete misapprehension of his duties, and were all bad in law. The scarcely veiled allusion to fear of parliamentary trouble was, in particular, a political reason which was quite extraneous and inadmissible. One of the fundamental matters confounding the minister's attitude was his claim to 'unfettered' discretion:

First, the adjective nowhere appears in section 19 and is an unauthorised gloss by the Minister. Secondly, even if the section did contain that adjective I doubt if it would make any difference in law to his powers, save to emphasise what he has already, namely that acting lawfully he has a power of decision which cannot be controlled by the courts; it is unfettered. But the use of that adjective, even in an Act of Parliament, can do nothing to unfetter the control which the judiciary have over the executive, namely that in exercising their powers the latter must act lawfully and that is a matter to be determined by looking at the Act and its scope and object in conferring a discretion

upon the Minister rather than by the use of adjectives."

"Yet as we have seen it is commonplace for the judges to impose limits on apparently unqualified discretions derived from 'the policy and objects of the Act'. And in both the recent cases mentioned the judges, in fact, recognized that such limitations might be imposed and required that the discretion of the Secretary of State, although wide, be exercised in accordance with the rule of reason. Thus the incautious use of the word 'unfettered' to describe a broad statutory discretion does not adumbrate the rejection of the foundational principle of administrative law just described."

14. Wade further elaborated the rule as:

The Padfield case, already discussed, shows the 'statutory policy' doctrine as applied to a minister of the Crown. The House of Lords held that in refusing to refer the milk producers' complaint to the statutory committee the minister had acted so as to frustrate the policy of the Act, despite the fact that its words were merely permissive; and that the political and other reasons given were irrelevant and indicative of unlawful motives..."

The House of Lords also rejected the Crown's argument that the minister need have given no reasons and that therefore such reasons as he volunteered to give could not be criticized. Going still further, the House declared that if in such a case he refused to give any reasons, the court might have to assume that he had no good reasons and was acting arbitrarily. In other words, the minister may not be able to disarm the court by taking refuge in silence..."

95. A determined ministerial attempt to frustrate the policy of an Act was condemned by the Court of Appeal in Laker Airways Ltd. v. Department of Trade [1977] Q B 643."

15. Simply put, the Condition did not promote the policy and objects of SRO 656 and frustrated it. Honda does not contend that the policy of installation of immobilizer in the Kits imported by OEMs be scrapped for that will be a contradiction in terms. All the variants of Honda are compliant of this condition since April, 2017. It simply required a reasonable time to be given to arrange for this condition to be complied. In this sense, the condition

falls within the category of an oppressive decision, a facet of the general concept of unreasonableness. It is one of the grounds of substantive review. In the treatise, *De Smith's Judicial Review* (7th Ed.) the following observations capture the concept:

“Official decisions may be held unreasonable when they are unduly oppressive because they subject the complainant to an excessive hardship or an unnecessarily onerous infringement of the rights or interests. As we shall see, the principle of proportionality directs itself to the evaluation of the permitted degree of infringement of rights or interests.”

16. In *R. (on the application of Khaton) v Newham*

LBC [2004] *EWCA Civ.* 55, Laws L.J has said:

“Clearly a public body may choose to deploy powers it enjoys under statute in so draconian a fashion that the hardship suffered by affected individuals in consequence will justify the court in condemning the exercise as irrational and perverse.”

17. The condition on the above touchstone, is unreasonably onerous and oppressive. Under this category of unreasonableness, courts consider whether there has been a disproportionate interference with the claimant's rights or interests. This is where the general concept of proportionality is invoked as a test requiring the decision-maker to achieve a fair balance. An illustration of an oppressive decision, given in *De Smith* is “when implementation is impossible”. It also includes an instance “where delegated legislation deviates materially from the general law of the land in

imposing burdensome prohibitions.” (*R. v Customs and Excise Commissioners Exp. Hedges and Butler Ltd.* [1986] 2 All E.R. 164).

18. The Federal Constitutional Court of Germany adopted and developed the proportionality principle.

It had three elements:

Suitability:

The measure should be suitable for the purpose of facilitating or achieving the desired objective;

Necessity:

The measure should be necessary (and, at this stage, I am not going to say anything about how far it had to be necessary), and

Fair Balance:

The measure should not be disproportionate to the restriction which it involved.”

(From the article, Proportionality: The Way Ahead? By The Rt. Hon. Lady Justice Arden DBE) (2013 PL 498).

19. Proportionality is quintessentially a European concept and part of Strasbourg jurisprudence and has its focus on fair balance. Its assimilation in the common law system by the English Courts has not been free of difficulty. The principle requires that “*it is not enough that the interference is for one of the specified purposes. It must also be a proportionate means of achieving that aim.*” (From Lady Arden article). Further that “*it was also necessary to weigh up the interference with each right having regard to the particular circumstances under consideration*”.

20. The above principles have to be juxtaposed against Section 19 right conferred on Honda by SRO 656. It is then necessary to weigh up that right with the interference caused by SRO 483. Section 19 grants to the Federal Government the general power to exempt from customs duties. In this case, the exemption was given by SRO 656 and continued unabated till the imposition of further conditions through SRO 483. The statutory structure of SRO 656 envisaged a manufacturing certificate to be issued by EDB by its clause (i) which reads as under:

“(i) The importer is an assembler or manufacturer who has suitable in-house facilities as defined in „Annex A” to this notification or the importer is in possession of a firm contract for the manufacture of specified goods with any other manufacturer having suitable in-house facilities and registered with Sales Tax Department for the manufacture of such goods, to manufacture road worthy vehicles according to the laid down standards and this fact has been certified by the Engineering Development Board (EDB) of Ministry of Industries and Production.”

21. Clause (iii) is crucial and provides that:

(iii) the importer-cum-assembler or manufacturer shall submit hard and soft copy of list of components with parts numbers along with respective PCT headings intended to be imported by him to EDB as per „Annex B”. The description of components and their parts numbers shall be in accordance with that given in the Service Manual/ Parts Catalogue of the vehicles. The EDB shall verify the list of components identified as aforesaid by the importer on the lists and determine the CKD kit of each vehicle in accordance with the terms set out in the First Schedule of the Customs Act,1969, and update Customs Computerized System. The Customs department will release the consignments of components for assembly or manufacture of vehicles on the basis of lists (Part number and description) verified by EDB [Omitted]”

22. Further by clause (v)

“(v) the importer-cum-assembler or manufacturer shall maintain records as prescribed under Annexure B. Such records along with reconciliation account of all inputs used in assembly or manufacture of vehicles shall be

submitted to the EDB on an annual basis latest by 15th August, each year, falling which, the manufacturing certificate of the firm shall not be revalidated”

23. Read in conjunction with each other, clauses (iii) and (v) clearly shows a pattern of activity spread over a year and starts with submission of a list of components to be imported by an OEM culminating in reconciliation account of all inputs used in assembly of vehicles for seeking revalidation of manufacturing certificate. The ineluctable conclusion is that the exempt components imported in any Kit form have to be pre-ordered many months priorly to enable Honda to comply with the conditions of SRO 656. These components are invariably to be imported from its parent company from Japan (or elsewhere as directed by Honda, Japan) and unless booked in advance, is likely to stall the process of manufacturing in terms of the manufacturing certificate is issued for the year. A closer look at any such certificate would show that the certificate issued in advance for the next year and contains an approved quantity of vehicles to be manufactured. (See Annex J/1, for example). For the purpose, Honda has to enter into firm contracts with suppliers all around the world in respect of exempt components. We are here talking of components designed and developed over the years and not in a matter of two days. Doubtless, Honda

does not manufacture immobilizers at its facility in Lahore. It is an importable component entailing long drawn negotiations on various aspects of the supply such as quality, pricing, suitable vendor etc. and most importantly the time required for an immobilizer to be made part of the components imported in a Kit form. All of these aspects were beyond Honda's control but were closely tied in with external factors over which it had little sway. On this basis, SRO 483 had the unpalatable effect of taking away the exemption, otherwise due to Honda, on the basis of a condition which was irrational and whimsical. The essential factors were disregarded in the particular circumstances under consideration such as time-frame for installation, value of Pakistani rupee in international market, production cost and its impact on the cost of vehicles, to name a few. All of this boils down to one conclusion. It was well-nigh impossible for Honda to install immobilizers in its cars in the two-day period to continue to reap benefits of SRO 656.

24. The proportionality exercise in Strasbourg jurisprudence consists of two separate steps: Qualitative assessment and Application to the specific facts. (*Otto-Preminger-Institut v Austria* (13470/87)). SRO 483 is a departure from the right to exemption conferred by SRO 656. The legitimacy

of the departure and for it to be proportionate, the departure must be suitable and necessary for the purpose of achieving the legitimate aim. Learning about the device, namely, immobilizer, throws light on the disproportionate nature of the condition:

“The immobilizer control system is an anti-theft device that immobilizes the vehicle. It stops the engine from working and prevents the vehicle from being stolen. It mainly consists of following components:

- *ECM (Engine Control Module)*
- *Immobilizer Control Module with the built-in coil antenna*
- *Ignition key with built-in transponder (A DEVICE FOR RECEIVING A RADIO SIGNAL AND AUTOMATICALLY TRANSMITTING A DIFFERENT SIGNAL)*

A code called “transponder code” is memorized in the transponder. And, the code is registered in ECM. Basically, when the ignition switch is turned ON ECM reads the code by the coil antenna. Then, if the code in transponder in the ignition key does not match the one registered in ECM, ECM stops operation signal on fuel injection and ignition coil so as not to start up the engine and turns the immobilizer indicator light blinks using CAN (CONTROLLER AREA NETWORK) communication lines.

The immobilizer system comprises of different components therefore in order to accomplish the final product the manufacturer needs to do the following steps, hence, which will need to be redeveloped/ modified accordingly make it more difficult for the plaintiff to install the system within short span of time:-

1. *Development of Software for ECM,*
2. *Addition of error indicator and meter,*
3. *Change of layout for starting column and*
4. *Installation of starting lock.*

The immobilizer system only allows an engine to start with keys that have been registered. That it basically serves to prevent theft by means such as a forged key or electrical ‘hotwiring’. During operation the engine start is prevented because the PCM (Powertrain Control Module) has not been activated to enable ignition, fuel supply / injection and starter. For their activation the PCM needs an enable signal that the right key is being used in the ignition lock. Therefore, each original key of the car is fitted with a microchip containing a unique ID-number (Identification Number) which is registered in the control module of the immobilizer system. Subsequently, the immobilizer system activates itself automatically when the ignition switch is turned to ACC or LOCK position. The system can only be deactivated with a registered key. Depending on the immobilizer type the security light signalizes system activation and malfunctions or only system malfunctions.

It is important to note that all immobilizer systems used are equipped with an OBD (On-Board-Diagnostic) function to detect, indicate and diagnose malfunctions. A detected malfunction can be indicated as a DTC (Diagnostic Trouble Code) by a corresponding flashing pattern of the security light and / or can be retrieved from the immobilizer control module with the aid of the WDS (Worldwide Diagnostic System) that the immobilizer system is an inbuilt part of the design and cannot install separately.”

25. It is clearly discernable from the above that immobilizer is a highly sophisticated device and involves development of software, change of layout steering column etc. It also involves novation of already concluded contracts and for various obligations to be renegotiated and varied, between Honda and its parent company. Necessarily, therefore, it entails modification of the model for a new production concept to be developed to systematically manage the complexity in the car which eventually requires outsourcing of responsibilities and activities to a variety of cooperation partners. This, in turn, is a long-drawn process incapable of accomplishment in two days and thus is an impossibility from Honda's point of view. To impose such a burden on Honda would be disproportionate to the measurer and aims of SRO 656. On this basis it is held to be *ultra vires*.

26. It is common ground that SRO 483 was issued pursuant to the decision made by ECC and notified by the Ministry of Industries and Production on 2.6.2016 in respect of Consumer Welfare measures

under Automotive Development Policy (ADP) 2016-21 i.e. for the next five years. The decision envisaged “compulsory installation of immobilizers in cars by the OEMs.” It did not require at all that the decision be implemented at once, without sufficient time to OEMs and significantly, to be added as a condition in SRO 656 and thereby to take away the exemption abruptly. The Federal Government was acutely aware in enacting SRO 483 that “the kits imported by importer-cum-assembler or OEM of cars must contain immobilizer.” Thus the immobilizer was to be part of the kits to be imported (as against their local manufacture). It was incredulous, therefore, for the Federal Government to have turned a blind eye to the practicalities involved in fulfilling the condition in two days.

27. Honda relied upon the order of S.H.C (dated 11.7.2016) in suit No.1630/16 which stated that:

“Since the installation of immobilizer will require change of circuitry, which needs to be designed and initially performed in Japan, as well as, the equipment has to be timely imported to give effect to the requirement of Clause-c of the notification dated 2nd June, 2016, the assertion made by the learned counsel seems fit and proper as it is practically impossible for the plaintiff to install these sophisticated immobilizer within a span of two days I the cars manufactured in its facility.

Issue notice to defendants through ordinary course as well as courier service. In the meanwhile, operation of Clause-c of the notification dated 2nd June, 2016 and para/clause (b)(iii) of SRO dated 29th June, 2016 are stayed till the next date of hearing.”

28. It will not be necessary to enter upon the controversy whether the order is *in rem* or *in personam*. Suffice to say that the order suspended clause (b)(iii) of SRO 483 without specifying whether the relief extended to the plaintiff only. It will be deemed that the order stays the operation of the clause across the board and the benefit would necessarily extend to Honda as well. It cannot be conceived that a portion of the notification will selectively apply to benefit one OEM and not the others while its operation was suspended. SRO 483 issued by the Federal Government was to apply across Pakistan and its stay by a court of competent jurisdiction will also be applicable in respect of all those covered by its mischief.

29. In view of the above, the Condition is null and of no effect. It has been issued without lawful authority.

Petition allowed.

(SHAHID KARIM)

JUDGE

Announced in open Court on 29-10-2020

Approved for reporting.

JUDGE

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Rafaqat Ali